

Meridian & Associates LLP

Tax Services Practice

Tax Controversy & Dispute Resolution

IRS Examination Defense, Appeals Strategy & Litigation Support
Federal, State, and International Proceedings

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1. Executive Summary

Meridian & Associates' Tax Controversy practice represents taxpayers in disputes with the Internal Revenue Service, state and local taxing authorities, and foreign tax administrations. Our team of 140+ controversy professionals -- including former IRS examination agents, Appeals officers, and Chief Counsel attorneys -- provides end-to-end representation from initial audit through administrative appeals, judicial proceedings, and competent authority negotiations. In FY2025, the practice managed 1,100+ active examination and appeals matters, resolved \$3.8 billion in proposed adjustments (achieving an average favorable resolution rate of 72%), and handled 35 Tax Court cases, 12 refund suits (Court of Federal Claims and district courts), and 8 competent authority proceedings.

2. IRS Examination Defense Framework

2.1 Pre-Audit Positioning

Effective audit defense begins before the first Information Document Request (IDR) is issued. Our pre-audit positioning services include:

- Audit readiness assessment -- review of filed returns and supporting workpapers to identify positions that may attract scrutiny, with remediation recommendations (e.g., amended returns, voluntary disclosures, or protective refund claims filed before the audit commences).
- Controversy reserve analysis -- coordination with the tax provision team to ensure uncertain tax positions are accurately reserved under ASC 740-10, providing a reliable financial statement baseline against which audit outcomes can be measured.
- Document retention and privilege review -- ensuring the client's document retention policies are adequate and that privileged communications (attorney-client privilege, tax practitioner privilege under Section 7525, and work product doctrine) are properly identified and segregated before production.
- Power of Attorney (POA) filing -- preparation and submission of Form 2848 designating Meridian as the taxpayer's authorized representative, with appropriate scope limitations to control information flow.

2.2 IDR Response Protocols

The Information Document Request is the IRS's primary tool for obtaining information during an examination. Our IDR response protocol is designed to be responsive and cooperative while protecting the client's rights:

- IDR triage and scoping -- immediate review of each IDR upon receipt to assess the scope, relevance, and privilege implications of each requested item. IDRs that are overbroad or seek privileged materials are addressed through negotiation with the examining agent or, if necessary, escalation to the examination team manager.
- Response timeline management -- coordination with the IRS to establish reasonable response deadlines (typically 30-45 days for initial IDRs, 15-30 days for follow-up requests). We track all IDR deadlines in our matter management system with automated escalation alerts.
- Centralized production control -- all documents produced in response to IDRs are reviewed by the engagement team, Bates-stamped, logged in a production database, and accompanied by a transmittal letter describing the responsive materials. This prevents inadvertent production of privileged or non-responsive documents.
- Narrative responses -- for IDR items requesting explanations of tax positions, we prepare written narratives that articulate the technical basis for the position with supporting authority citations, framing the position favorably without volunteering information beyond the scope of the request.

3. 30-Day and 90-Day Letter Strategies

3.1 30-Day Letter Response

When the IRS issues a 30-day letter (Revenue Agent Report or RAR) proposing adjustments to the taxpayer's return, the taxpayer

has 30 days to either agree, partially agree, or file a written protest requesting consideration by the IRS Independent Office of Appeals. Our approach:

- Detailed analysis of each proposed adjustment -- determination of the IRS's legal theory, factual basis, and computational accuracy.
- Concession analysis -- identification of adjustments that may be meritorious or immaterial, with a recommendation on strategic concession to focus Appeals resources on material disputed issues.
- Written protest preparation -- a comprehensive protest document setting forth: (i) a statement of the facts relevant to each disputed issue, (ii) a statement of the applicable law (including statutory provisions, regulations, case law, and IRS guidance), (iii) an argument demonstrating why the taxpayer's position should be sustained, and (iv) a request for a conference with Appeals.
- Hazards of litigation assessment -- for each disputed issue, we prepare an internal memorandum assessing the probability of success on the merits, consistent with the hazards-of-litigation framework used by IRS Appeals to evaluate cases.

3.2 90-Day Letter / Statutory Notice of Deficiency

If the taxpayer does not reach agreement with the IRS at the examination or Appeals level, the IRS issues a Statutory Notice of Deficiency (90-day letter), which is a prerequisite to the taxpayer's right to petition the United States Tax Court. Critical considerations include:

- Deadline management -- the 90-day filing deadline (150 days for taxpayers outside the United States) is jurisdictional and non-waivable. Failure to file a timely petition results in the deficiency becoming final and assessable. We implement multiple redundant calendar controls to ensure no deadline is missed.
- Tax Court petition preparation -- we prepare the petition in compliance with the Tax Court Rules of Practice and Procedure, including the statement of assignments of error and supporting facts.
- Forum selection analysis -- evaluation of whether Tax Court is the optimal forum (prepayment forum, but limited discovery and specialized judges) versus filing a refund claim and suit in the Court of Federal Claims or a federal district court (full payment required, but jury trial available in district court and broader discovery rules).

4. IRS Appeals Conference

The IRS Independent Office of Appeals is the administrative forum for resolving tax disputes without litigation. Our Appeals practice includes:

- Pre-conference preparation -- development of a comprehensive Appeals presentation including a legal memorandum, factual exhibits, economic analyses, and expert reports (where applicable).
- Hazards-of-litigation negotiation -- engaging with the Appeals Officer on the relative litigation hazards of each issue, leveraging recent case law developments, new factual evidence developed since the examination, and settlement precedents.
- Fast Track Settlement -- for cases still in examination, we evaluate whether the IRS Fast Track Settlement (FTS) program or Post-Appeals Mediation (PAM) would be advantageous alternatives to the traditional Appeals process.
- Closing agreement negotiation -- when a settlement is reached, we negotiate the terms of the Form 906 closing agreement, ensuring that agreed-upon positions are properly characterized and that the agreement does not create unintended precedent for other tax years or issues.

5. Competent Authority Proceedings

For taxpayers facing double taxation resulting from transfer pricing adjustments or other cross-border disputes, we represent clients in competent authority proceedings under applicable income tax treaties. The competent authority process is governed by Article 25 of the OECD Model Tax Convention (and corresponding bilateral treaty provisions) and Revenue Procedure 2015-40 (for US-initiated requests). Our services include:

- Initiation of competent authority request -- preparation and filing of the request with the US Competent Authority (IRS APMA)

or the relevant foreign competent authority, within the treaty-prescribed time limits (typically 3 years from the first notification of the action giving rise to double taxation).

- Position paper development -- comprehensive analysis demonstrating that the foreign adjustment is inconsistent with the arm's length standard and/or the applicable treaty provisions.
- Arbitration provisions -- for treaties containing mandatory binding arbitration provisions (e.g., US-Canada, US-Germany, US-Belgium), advising on the implications of the arbitration clause and preparation for potential arbitration proceedings.
- Correlative adjustment implementation -- once agreement is reached, coordinating with both tax authorities to implement the correlative adjustment, including any refunds, additional assessments, and amended return filings.

6. Voluntary Disclosure Programs

Meridian assists taxpayers in making voluntary disclosures to mitigate penalties and potential criminal exposure for prior non-compliance. Our voluntary disclosure practice covers:

- IRS Voluntary Disclosure Practice -- following the updated procedures in IRS Memorandum LB&I-09-1118-014, we prepare preclearance requests and voluntary disclosure submissions for taxpayers with unreported domestic or foreign income, unfilled returns, or other compliance deficiencies.
- Streamlined Filing Compliance Procedures -- for taxpayers certifying non-willful failure to report foreign financial accounts or pay tax, the streamlined procedures offer reduced penalties (zero for foreign residents, 5% miscellaneous offshore penalty for domestic filers).
- State voluntary disclosure agreements (VDAs) -- negotiation of state VDAs for taxpayers with prior-period income tax, sales tax, or use tax liabilities in states where nexus was established but returns were not filed. VDAs typically provide penalty abatement and a limited lookback period (3-4 years in most states).

7. Penalty Abatement Strategies

We pursue penalty abatement through the following primary arguments:

7.1 Reasonable Cause

Under IRC Section 6664(c), no penalty is imposed under Section 6662 (accuracy-related penalty) if the taxpayer demonstrates that there was reasonable cause for the underpayment and that the taxpayer acted in good faith. Factors analyzed include: the nature of the error (computational vs. interpretive), the taxpayer's compliance history, the complexity of the applicable law, the taxpayer's reliance on professional advice (satisfying the Neonatology Associates three-prong test), and the taxpayer's efforts to assess the correct tax liability.

7.2 Substantial Authority

For accuracy-related penalties under Section 6662(b)(2) (substantial understatement of income tax), no penalty applies if the taxpayer had substantial authority for the position. Substantial authority exists when the weight of authorities supporting the position is substantial in relation to the contrary authorities, determined by reference to the hierarchy of authority listed in Treas. Reg. Section 1.6662-4(d)(3)(iii): Internal Revenue Code, regulations, revenue rulings, revenue procedures, Tax Court and appellate court decisions, legislative history, private letter rulings, technical advice memoranda, and IRS information releases.

7.3 Adequate Disclosure

Alternatively, for non-tax-shelter items, the substantial understatement penalty can be avoided through adequate disclosure of the position on the tax return (or an attached statement) if there is a reasonable basis for the position. Disclosure is made on Form 8275 (Disclosure Statement) or Form 8275-R (for positions contrary to Treasury regulations). We advise clients on the appropriate use of disclosure as a protective measure for aggressive but defensible positions.

8. Statute of Limitations Management

Proper management of the statute of limitations is critical to both the IRS's ability to assess additional tax and the taxpayer's ability to claim refunds. Key considerations include:

- Standard 3-year assessment period (Section 6501(a)) -- beginning on the later of the filing date or the due date of the return.
- 6-year period for substantial omissions (Section 6501(e)) -- applies when the taxpayer omits more than 25% of gross income from the return. Post-2010 amendments clarify that overstatement of basis can trigger this extended period.
- Unlimited period for fraud or failure to file (Section 6501(c)) -- no statute of limitations applies to fraudulent returns or where no return was filed.
- Consent to extend (Form 872/872-A) -- we carefully evaluate IRS requests to extend the statute, negotiating restricted consents (limited to specific issues and tax years) and fixed expiration dates rather than open-ended extensions.
- Protective refund claims -- filing timely protective refund claims (Form 1120X or informal claim) to preserve the client's right to claim refunds for contingent issues (e.g., pending litigation, Revenue Procedure changes, or Tax Court decisions on appeal).